



MEMORANDUM

TO: Mayor Patrick Collins, and City Council
FROM: TJ Barttelbort, Purchasing Manager 
DATE: April 5, 2023
SUBJECT: Ordinance amending sections 2.04.160(D)&(E) and 12.04.180(B) of the City Code, in reference to Contract Approval Thresholds

Recently passed State of Wyoming Legislation, specifically Senate File SF0164 'Public improvement contract requirements-amendments.' increased the bid threshold at which public improvement contracts must be advertised for bid from thirty-five thousand dollars (\$35,000.00) to seventy-five thousand dollars (\$75,000.00) – Effective April 1, 2023.

The proposed Ordinance revises section City Code Section 2.04.160(D), Subsections 4 & 6, to set an approval limit of \$75,000.00 for contracts that generate revenue and contracts for professional services. Contracts for public improvements are covered under Subsection 1, and Wyoming Statute 15-1-113 sets the threshold for contracts of this nature (\$75,000.00 as a result of SF0164).

Changes to section 2.04.160(E) propose raising the threshold for Contract Modifications that do not require Governing Body approval from \$50,000.00 to \$75,000.00 (Applies only to Contracts previously approved by the Governing Body).

Changes to section 12.04.180(B) propose raising the threshold to \$75,000.00 for continuity across all thresholds previously established at \$35,000.00.

A table showing the existing thresholds, with their proposed changes, is included for reference.

Although not enacted via this proposed Ordinance, changes to the City Purchasing Policy will be implemented upon approval of this Ordinance to update and revise the quote and bidding thresholds. Most notably, the three-quote threshold range will change from \$5,000 - \$35,000, to \$10,000 - \$75,000.

Funding: No Financial Impact

City Council Approval / Voting Threshold 2.04.160(D)6.				
<i>Service Type</i>	<i>Current Threshold</i>	<i>Proposed New Threshold</i>	<i>% Change</i>	<i>Proposed Increased Amount</i>
Non-Professional Services	\$ 35,000.00	\$ 75,000.00	53%	\$ 40,000.00
Professional Services	\$ 50,000.00	\$ 75,000.00	33%	\$ 25,000.00

Revenue Contract Approval Threshold 2.04.160(D)4.				
<i>Service Type</i>	<i>Current Threshold</i>	<i>Proposed New Threshold</i>	<i>% Change</i>	<i>Proposed Increased Amount</i>
Revenue Generating Contracts	\$ 35,000.00	\$ 75,000.00	53%	\$ 40,000.00

Contract Modification Threshold 2.04.160(E).				
<i>Service Type</i>	<i>Current Threshold</i>	<i>Proposed New Threshold</i>	<i>% Change</i>	<i>Proposed Increased Amount</i>
Non-Professional & Professional Services	\$ 35,000.00	\$ 50,000.00	30%	\$ 15,000.00

Advertised Solicitation / Bidding Requirement for Bids & RFPs (Purchasing Policy)				
<i>Service Type</i>	<i>Current Threshold</i>	<i>Proposed New Threshold</i>	<i>% Change</i>	<i>Proposed Increased Amount</i>
Non-Professional Services	\$ 35,000.00	\$ 75,000.00	53%	\$ 40,000.00
Professional Services	\$ 200,000.00	\$ 200,000.00	0%	\$ -

3 Quote Solicitation (Purchasing Policy)				
<i>Service Type</i>	<i>Current Threshold</i>	<i>Proposed New Threshold</i>	<i>% Change</i>	<i>Proposed Increased Amount</i>
Non-Professional Services (Quote Min Threshold)	\$ 5,000.00	\$ 10,000.00	50%	\$ 5,000.00
Non-Professional Services (Quote Max Threshold)	\$ 35,000.00	\$ 75,000.00	53%	\$ 40,000.00
Professional Services	N/A	N/A	N/A	N/A

TJB

ORDINANCE NO. _____

ENTITLED: "AN ORDINANCE AMENDING CHAPTER 2.04, MAYOR AND CITY COUNCIL, WITHIN TITLE 2, ADMINISTRATION AND PERSONNEL, AND CHAPTER 12.04, STREETS, SIDEWALKS AND DRIVEWAYS GENERALLY, WITHIN TITLE 12, STREETS, SIDEWALKS AND PUBLIC PLACES, OF THE MUNICIPAL CODE OF THE CITY OF CHEYENNE, WYOMING, TO AMEND PROVISION GOVERNING CONTRACT APPROVALS"

BE IT ORDAINED BY THE GOVERNING BODY OF THE CITY OF CHEYENNE, WYOMING:

Section 1. That Section 160, Readings—Committee reports—Amendments, of Chapter 2.04, Mayor and City Council, of Title 2, Administration and Personnel, and Chapter 12.04, Streets, Sidewalks and Driveways Generally, within Title 12, Streets, Sidewalks and Public Places, is hereby amended as set out in this Ordinance. Sections currently existing and not set out within this ordinance remain unchanged.

2.04.160 - Readings; committee reports; amendments; contract approval.

- D. Contracts requiring governing body approval prior to execution by the mayor are as follows:
1. Public improvements in excess of the amount proscribed by state statutes;
 2. Purchase of new motor vehicles;
 3. Franchise agreements;
 4. Those which generate revenue for the city in excess of seventy-five thousand dollars (\$75,000.00);
 5. For the sale or trade of city property as specified in state statute;
 6. Except that contracts for professional services for seventy-five thousand dollars (\$75,000.00) or less shall not require governing body approval prior to execution by the mayor;
- E. Notwithstanding the requirements imposed under subsection (D) of this section, any contract previously approved by the governing body shall not require further governing body approval for the contract to be later modified to effectuate a project completion date extension or for a modification that increases the original contract price by less than fifty thousand dollars (\$50,000.00), subject to the following conditions:

1. Governing body approval shall be required when the additive sum of one (1) or more contract modifications will exceed fifty thousand dollars (\$50,000.00); and
 2. Any contract modification to be executed without governing body approval in accordance with this subsection that increases the contract price shall not increase the total price of original contract by more than twenty percent (20%).
- F. Any contract or contract modification that does not require governing body approval prior execution under subsections (D) or (E) of this section or section 12.04.180(B) shall be reviewed by the department of the city treasurer and the city attorney before the contract may be executed by the mayor.

12.04.180 - Governing body may contract for construction.

- B. Special Provision for Downtown Development District. The director of public works or the city engineer are empowered to let contracts for less than seventy-five thousand dollars (\$75,000.00) for the repair or replacement of curb and gutter located within the downtown development district on a rotating list of qualified contractors pursuant to a qualification process approved by the governing body and the purchasing manager. The requirements of subsection 2.04.160(D) shall not apply to contracts let pursuant to this process.

Section 3. Sections, paragraphs, sentences, clauses, and phrases of this ordinance are severable. If any section, paragraph, sentence, clause, or phrase of this ordinance is declared unconstitutional, such unconstitutionality shall not affect any of the remaining sections, paragraphs, sentences, clauses, and phrases.

Section 4. That this ordinance shall be in full force and effect upon approval and publication.

FIRST READING: _____

SECOND READING: _____

THIRD AND FINAL READING: _____

PATRICK COLLINS, MAYOR

(SEAL)

ATTEST:

KRISTINA F. JONES, CITY CLERK

Published: _____
Wyoming Tribune-Eagle